A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY

A. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2014 and 2013:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2014	2013	Increase (Decrease)
Assets	112,637,829.64	86,136,096.71	26,501,732.93
Liabilities	51,821,640.44	33,835,814.25	17,985,826.19
Government Equity	60,816,189.20	52,300,282.46	8,515,906.74

b. Income and Expenses

Income	74,676,508.77	66,314,096.31	8,362,412.46
Expenses	55,899,357.51	53,956,960.99	1,942,396.52

c. Appropriations/Obligation

Appropriations	85,490,996.61	72,890,138.30	12,600,858.31
Obligations	65,048,404.60	62,025,709.97	3,022,694.63

d. Comparative Statement of Fund Transfer to and from NGAs, LGUs, NPOs & POs

	2014	2013	Increase (Decrease)
Fund Received from other Agencies			
Due from NGAs	100,000.00	70,000.00	30,000.00
Due from LGUs	1,868,500.00	1,223,500.00	645,000.00
Due from NGOs/POs	87,600.00	65,000.00	22,600.00
Total	2,056,100.00	1,358,500.00	697,600.00
Fund Transferred to other Agencies			
Due to NGAs	-	-	-
Due to LGUs	1,282,169.00	3,500,000.00	(2,217,831.00)
Due to NGOs/POs	1,893,000.00	1,000,000.00	893,000.00
Total	3,175,169.00	4,500,000.00	(1,324,831.00)

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2014	2013	Increase (Decrease)
Suspensions	116,827.68	116,827.68	-
Disallowances	475,835.27	554,048.49	78,213.22
Charges	-	-	-
Total	592,662.95	670,876.17	78,213.22

The Municipality's assets, liabilities and equity increased by P26,501,732.93, P17,985,826.19 and P8,515,906.74 respectively. The increased in the liabilities was due to the increased in the account Due to NGAs that was not yet implemented in CY 2014.

Total income amounted to P74,676,508.77 for the year which is P8,362,412.46 higher than last year's total income amountedto P66,314,096.31. A total amount of P85,490,996.61 was appropriated during the year of which P65,048,404.60 was obligated.

B. Operational Highlights

The major accomplishments of the Municipality in CY 2014 are the following:

20% Development Fund	**Targets**	**Accomplishments**	**% of Completion**
• Concreting of Municipal Roads	3,500,000.00	3,466,317.11	100%
• Improvement of Ballesteros Sports Complex	1,784,935.72	1,784,935.72	100%
• Construction of Covered Walk for BNHS and Ball. Central School	1,000,000.00	824,041.63	82%
• Construction of Farmers Multi-Purpose Shed	320,000.00	320,000.00	100%
• Construction of Multi-Purpose			
• Drying Pavement	300,000.00	300,000.00	100%
• Improvement of Fish-Public Market	452,000.00	363,731.86	80%
Funded from Financial Assistance			
DA-RO2 1st tranche 50% concreting ofsitioMaburelBaran-Mabuttal FMR	930,000.00	930,000.00	100%
DA-RO2 Bureau of Soils & Water Management	1,029,000.00	746,531.00	73%
DILG-Performance Challenge Fund(PCF)	1,000,000.00	979,932.57	97%
Provincial Government of Cagayan-Catuguran-Zitanga Access Road	1,000,000.00	992,297.80	100%

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Ballesteros for the year ended December 31, 2014. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P33,150,054.12 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. Collectors do not turn over their collections daily to the Municipal Treasurer contrary to Section 26 of COA Circular No. 92-382 dated July 3,1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002, thereby exposing to danger that the amount may be misappropriated.

   For proper management of cash collections of the Local Government Unit and to avoid misappropriation of government funds, we recommended that the Local Chief Executive should.

   1. Directs the collectors to remit their collections promptly and intact.
   2. Advise the collectors to comply with the provisions of Section 26 of COA Circular No. 92-382 dated July 3,1992 and Section 29 of COA Circular 2002-003 dated June 20, 2002.

2. The physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at ₱33,150,054.12 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all LGU properties and absence of property and equipment ledger cards maintained at the office of the Municipal Accountant in violation of Section 124, Volume I of the Manual on the New Government Accounting System

   We recommended that management conduct physical inventory of all LGUs properties at least once a year and submit the corresponding Report on the PhysicalCount of Property, Plant and Equipment (RPCPPE) to the office of the Auditor for verification. Likewise, instruct the Municipal Accountant to maintain property and equipment ledger cards of all LGUs properties to facilitate verification of its recorded assets.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) recommendations embodied in the previous Annual Audit Report, four (4) were fully implemented, three (3) were partially implemented and the remaining one (1) was not implemented.